H1 2022 Earnings

25 August 2022

Table of Contents

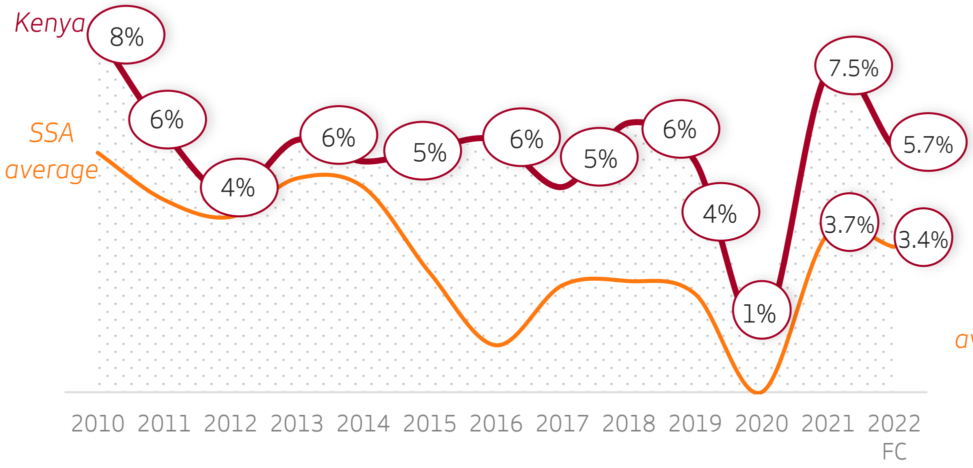
1

Business Overview

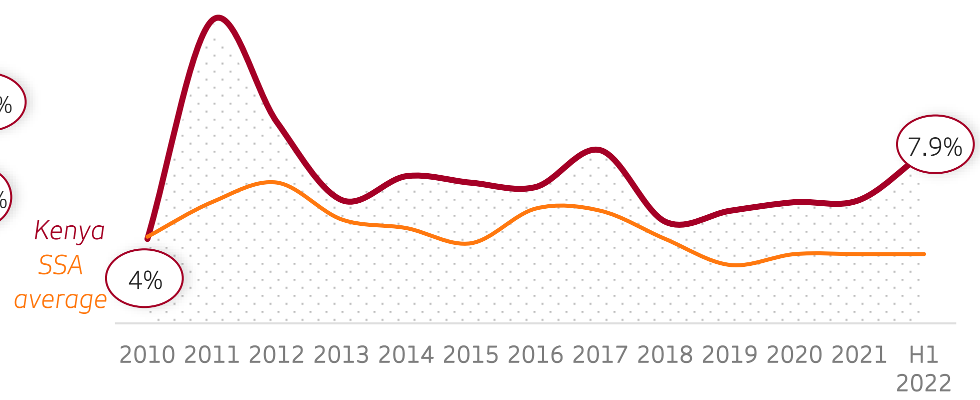
Jeremy Awori –
Chief Executive Officer

Operating Environment: We are navigating a complex operating environment with addressable risks and opportunities

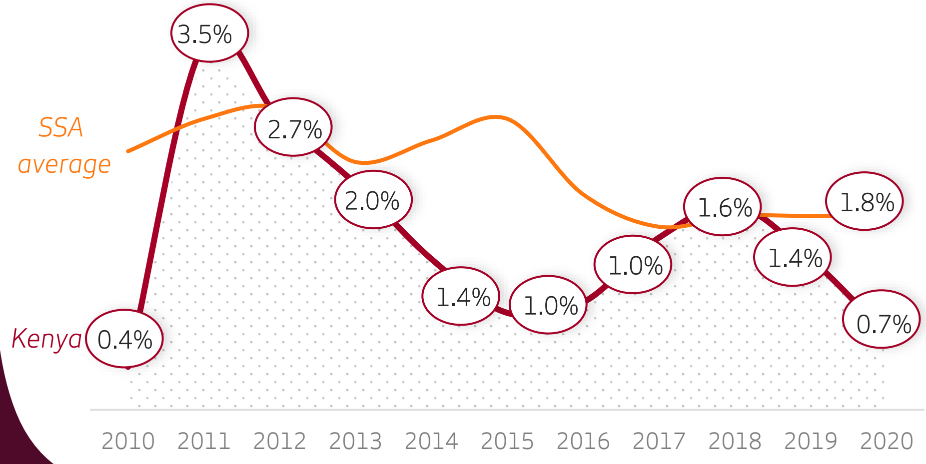
Kenya's GDP growing above SSA average



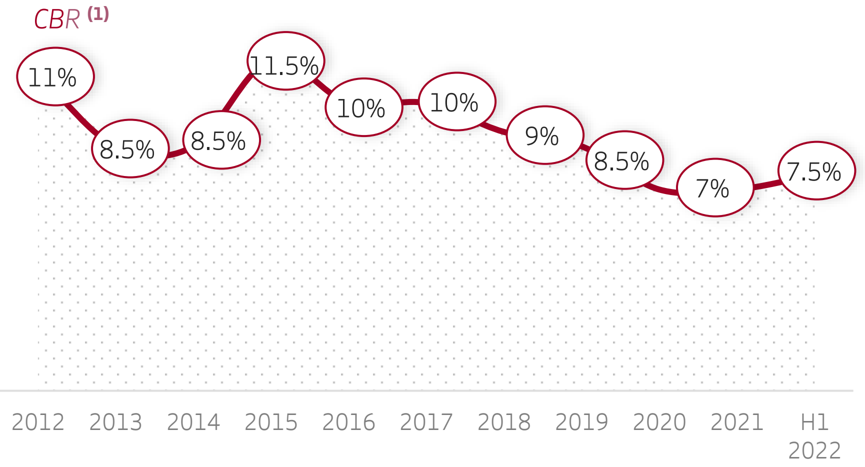
Observed inflation pressure in the second quarter of 2022



Subdued Foreign Direct Investments: Net inflows (% of GDP)



Interest rates edging up to contain inflation pressure



Sources: Central Bank of Kenya, Government of Kenya Treasury, IMF, World Bank

Notes
1. CBR – Central Bank Rate

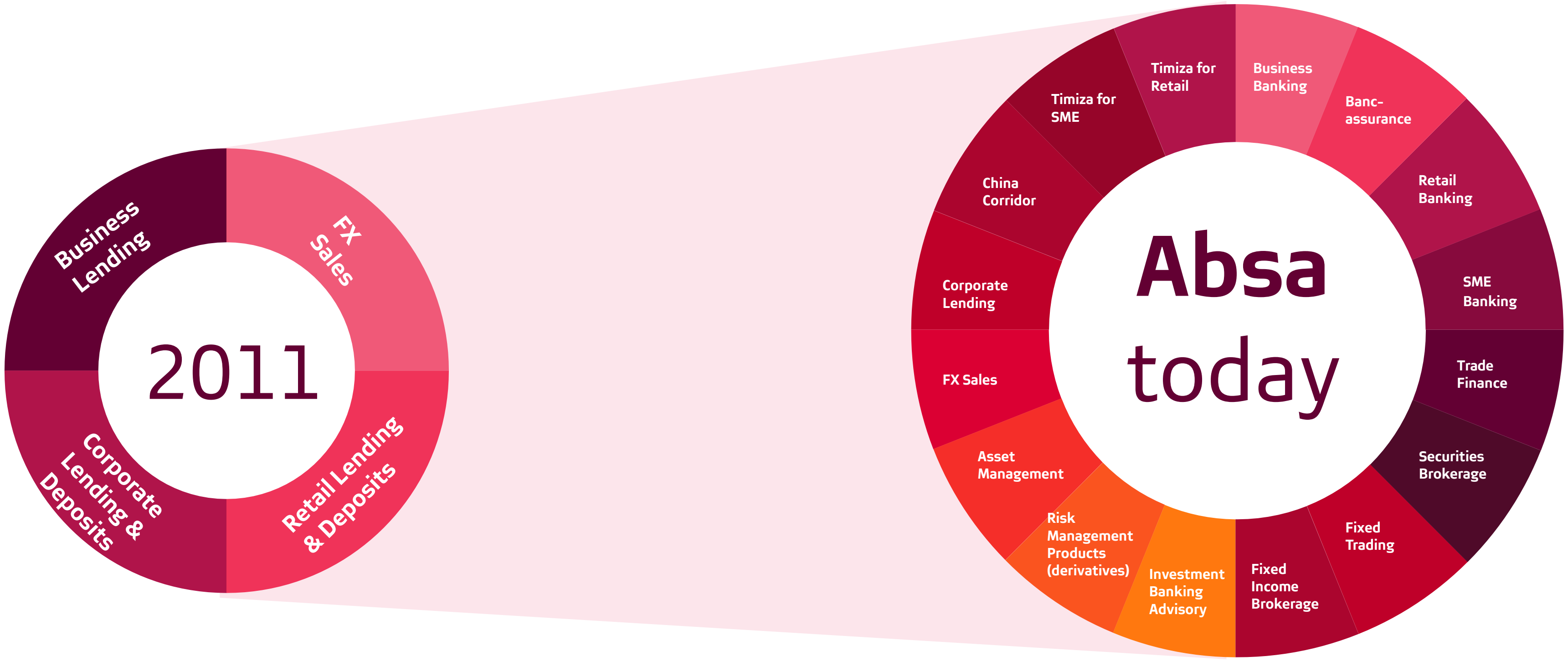
Head winds

1. Political Transition
2. Geopolitical Risks
3. Muted Foreign Direct Investment
4. Inflation Pressure

Tail winds

1. Growth in private sector credit
2. Supply chains stabilization
3. Interest Rates Stability

Business Transformation: Over time, our business has evolved towards a full financial services group driven by a broader proposition set



On Growth: We have accelerated our diversification efforts in 2022

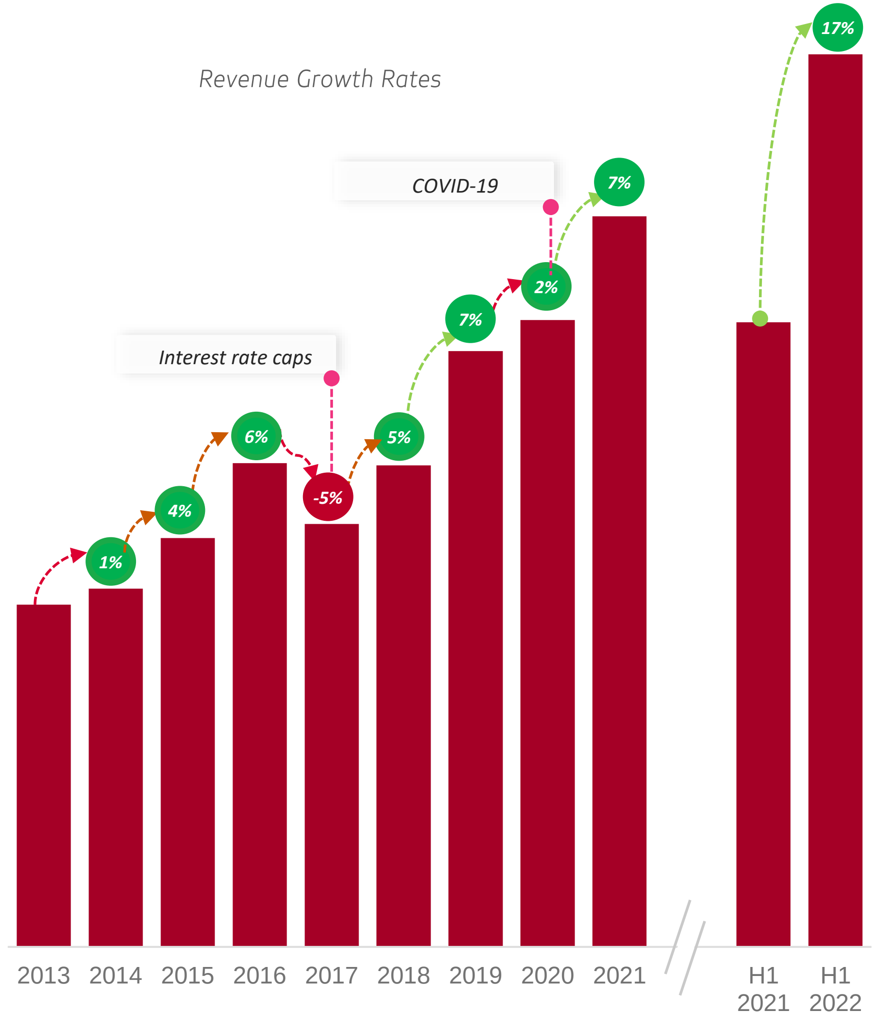
New Business established in 2022	Opportunity Set
Asset Management *(Institutional and Retail including High Net Worth proposition)*	*As value add to our business and savings retail customers, we are expanding the investment opportunities in unit trust and we are in the process of establishing investments for High Net Worth clients*
Consumer Payments Business	*We see opportunities around P2P[1] payments, Diaspora remittances, digital payments and Cash and collections between enterprises*
Custody	*After over 10 years, we have started our greenfield re-entry into custody business to capture opportunities in foreign currency, deposits and ecosystems*
Investment Banking Advisory *(M&A[2], DCM[3], ECM[4])*	*To complement our leading Global Markets and Stock Brokerage businesses, we have invested in Investment Banking Advisory to capitalize on opportunities in M&A, Debt and Equity Capital Markets across East Africa*

Notes
1. P2P – Peer to Peer
2. M&A – Mergers and Acquisition
3. DCM – Debt Capital Markets
4. ECM – Equity Capital Markets

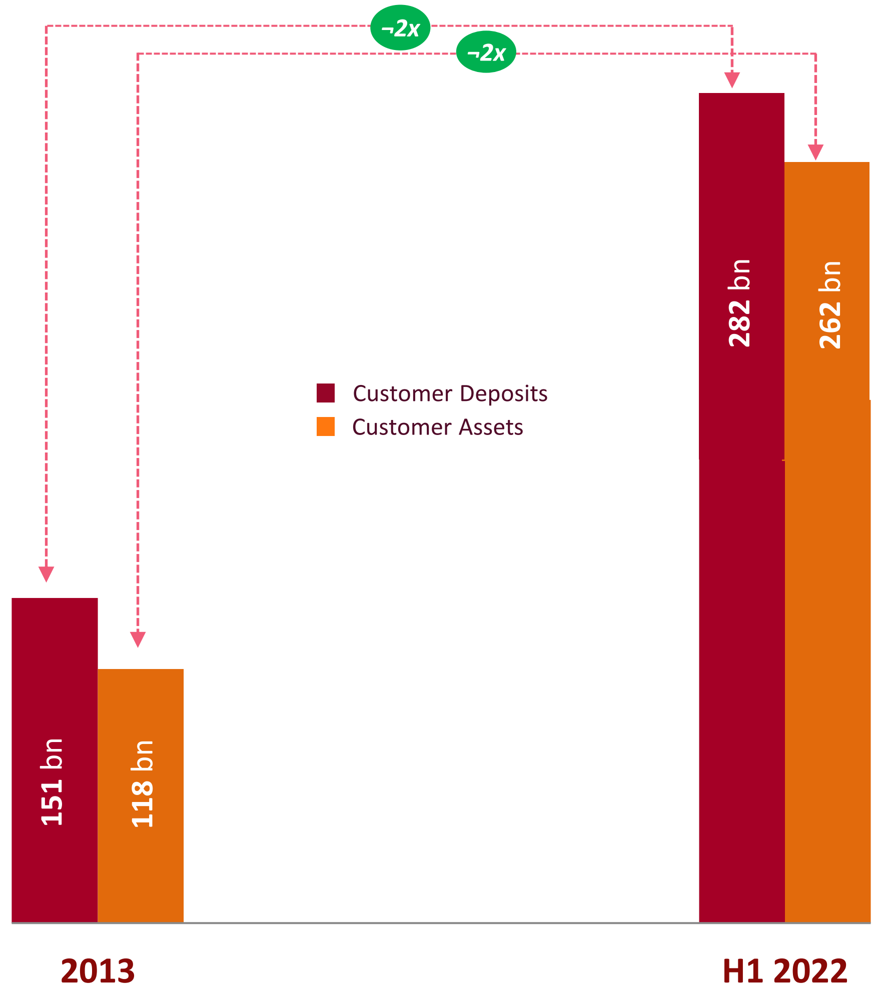
On Growth: We have doubled our balance sheet with our revenue growth accelerating fastest in 2022

(in KES billions unless stated otherwise)

We are accelerating revenue growth momentum



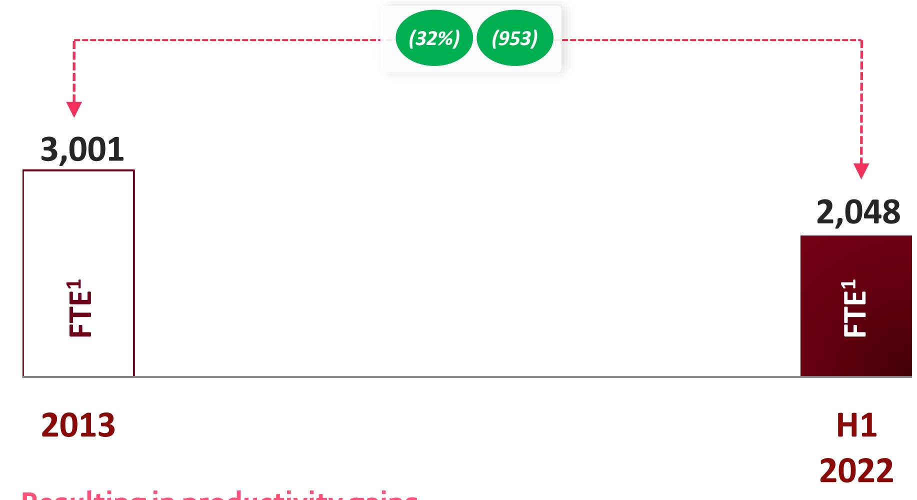
We have doubled our balance sheet since 2013



On Transformation: We have optimized our structural costs; re-designing the organization towards sales and service and significantly improving productivity

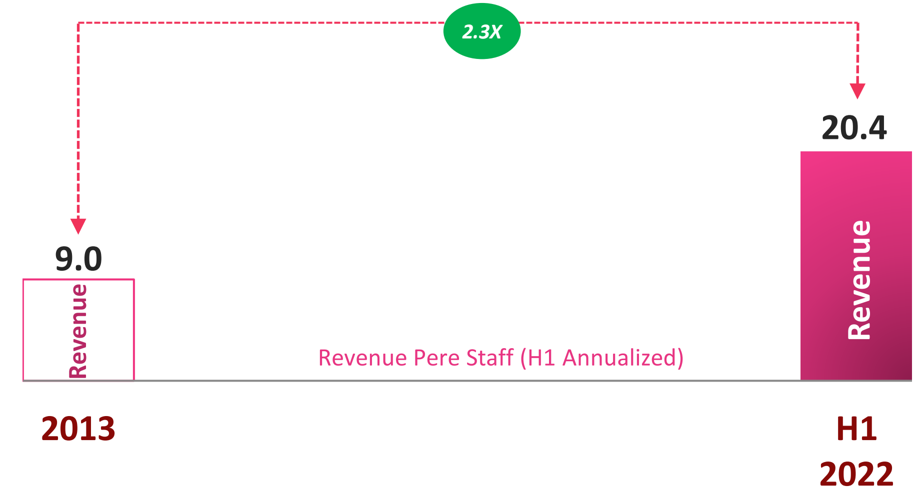
(in KES millions unless stated otherwise)

We have significantly restructured our organization

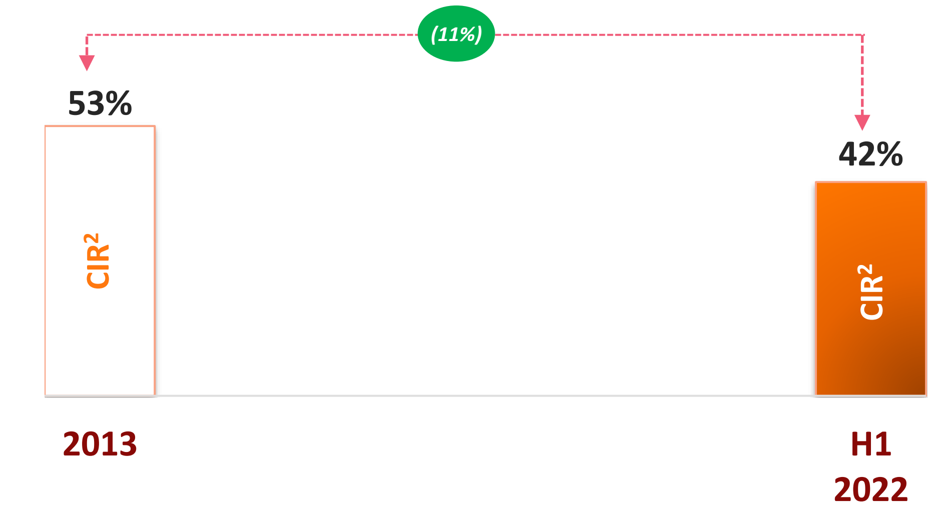


While rationalizing our footprint (Branches)

Resulting in productivity gains



...reducing cost to income ratio to low-40%'s



Notes
1. FTE - Full Time Employees
2. CIR - Cost to Income Ratio

On Transformation: Innovation over the years towards delivering for the customer

Back End Investments
(2013 - 2022)

Migration of Credit Card Platform from Prime 3 to Vision+; enabling issuance of EMV compliant cards	Robotics Process automation (Baseline)
E-statements implementation	Unified payments platform (Makola)
Next Generation Infrastructure Transformation Program across our network	Wealth and Asset Management Platform (AAM)
NextGen People system with self-service and enhanced collaboration capabilities	Introduced scalable virtual banking (Timiza) platform

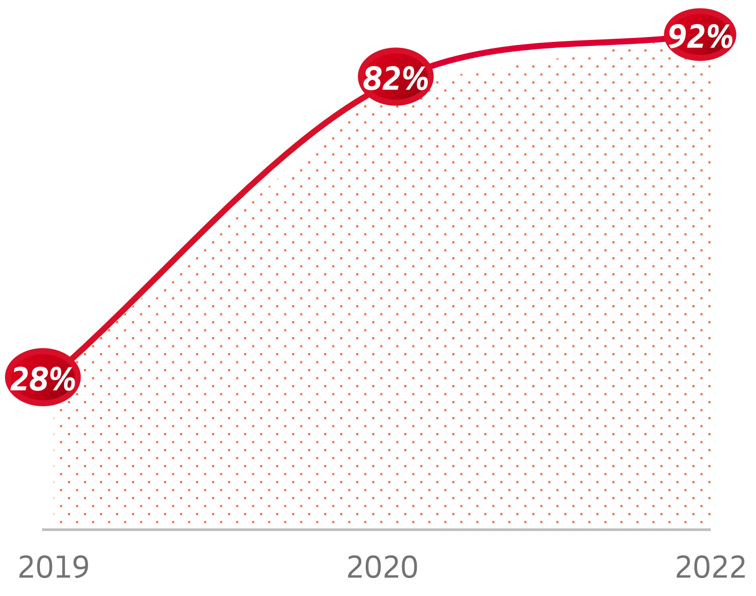
Migration & Re-brand of internal systems and applications	Robotics Process Automation	Banc-Assurance System

Front End Investments
(2013 - 2022)

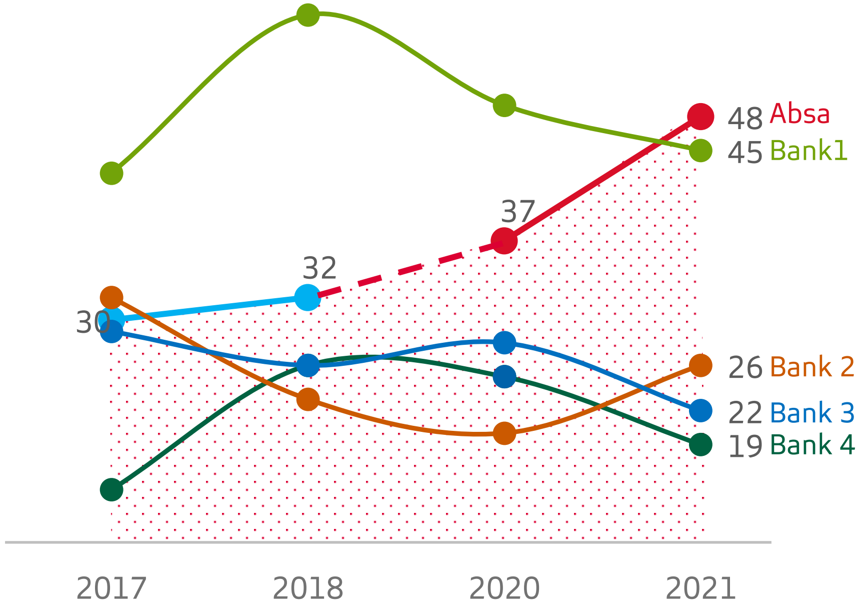
Digital Channels rollout –Hello money, Internet and Mobile	Unified Mpesa collections capabilities to Customer accounts	Paperless Workflow implementation across all our branches
SMS Alerts Solution	Queue Management System	Prepaid Cards with most Multi-currency options (Corporate & Retail)
Set up of Stock Brokerage Business	Set up of Virtual Banking Business (Timiza)	Core Pricing & Billing Engine
Cash Deposit Machines	Whatsapp Banking	Re-introduced Agency Banking with enhanced Partnerships
Digital Account onboarding	Loan Top Ups Via Digital Channels	Retail outbound FX remittances across 13 countries

On Transformation: We have achieved significant milestones with our new brand since the re-brand in 2019/2020

Brand Awareness score



Most Reputable Bank in Kenya[1]



Other scores

72% Colleague Brand Love score

86% Customer Experience Index score

Notes

1. Reputation score sourced from the GlobeScan survey done in Q1 2022 focused on 2021 period

On Transformation: We are building Absa as a fun, vibrant and inspirational place to work

Won 2022 Employer of Choice Award

Enabled by:

Material culture transformation over the last 5 years

Employee value proposition design improvements

New ways of working enabling a Hybrid Model beyond COVID-19

Talent development across all levels of organization

Leadership learning with leading Global universities and a bespoke Absa Academy

On Transformation: We continue to embed sustainability in our business

Delivering our Role in Society through four pillars

Our High Impact SDG's

1

Environment

- 80+ Absa properties assessed through Edge and retrofitted driving 31% energy and 30% water use efficiency
- Received IFC EDGE certification for five of our sites
- Planted 140K+ trees in H1; with a milestone target of 800K trees in 2022
- Completed the baseline mapping of our 2019 and 2021 Scope 1&2 Emissions

2

Education and Skills Development

- 211,000 youths in Kenya reached t date through the Ready to Work (R2W) program
- Benefitted 574 bright needy students to date from 47 counties of Kenya in 56 local universities
- 203 Colleagues trained as Ready to Work champions and facilitators
- Trained over 200 suppliers on Corporate sustainability and held webinars to support and capacity build

3

Promoting a Just Society

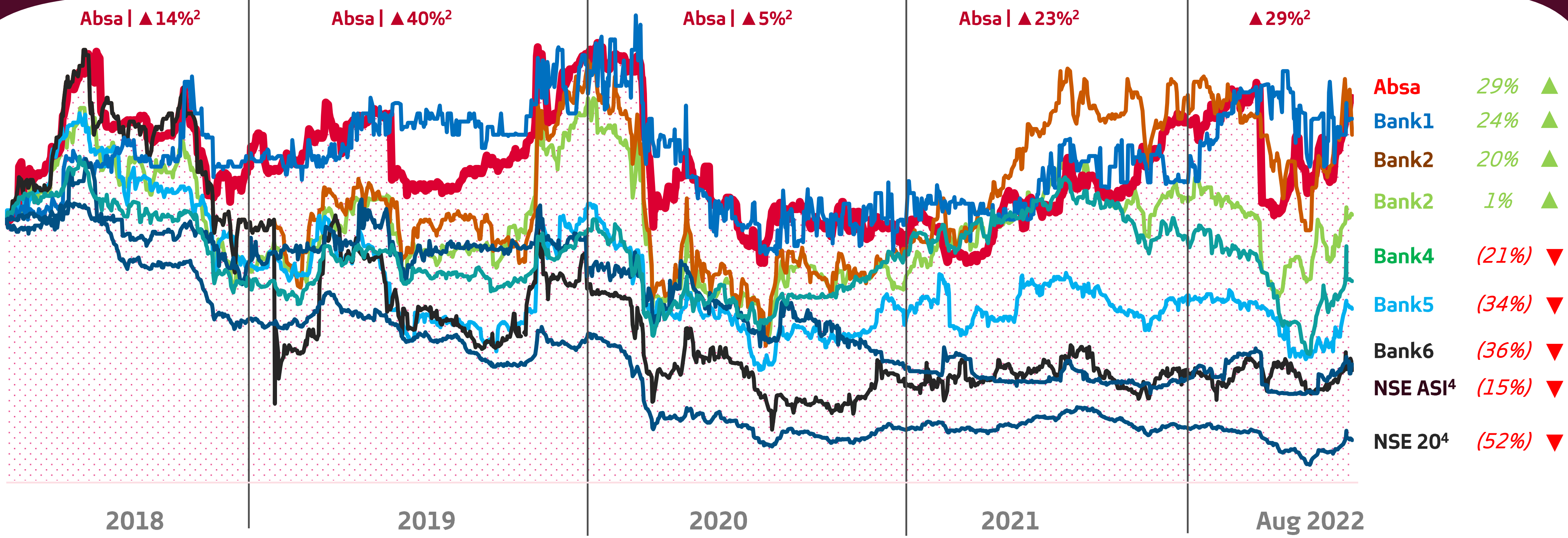
- Increased diversity in our supply chain to 10% . We aim at 30% by 2025 through programmes such as IFC Sourcing2Equal
  Colleague diversity, attain 50% across all levels by 2025
- 16 Computer labs set ups in schools across the country to drive digital literacy with 64 more to be completed by end of year
- Establish Absa Foundation in 2022/23

4

Inclusive Financing

- EUR 200,000 technical support grant to supporting women-led businesses in partnership with GIZ
- Empowering youth and start-ups through a USD 200,000k technical support grant in partnership with Africa Guarantee Fund
- Sustainable financing guarantee

On Returns: Absa stock[1] continues to outperform key indices with ROE[3] above industry average



	2018	2019	2020	2021	Aug 2022
Absa Stock Price[2]	*#1*	*#1*	*#2*	*#2*	*#1*
Dividend Yield	*#2*	*#1*	-	*#2*	*Top Quartile*
Absa ROE[3]	*17%*	*18%*	*9%*	*19%*	*23%*
Industry ROE[3]	*16%*	*15%*	*11%*	*16%*	*19%*

Notes
1. Stock price performance as at Friday the 19th August 2022
2. The stock price performance baseline is from January 1st 2018, the commencement of the Growth, Transformation and Returns Strategy
3. ROE – Return on Equity; Absa ROE as at H1 2022; Industry ROE annualized as at Q1 2022
4. NSE ASI – Nairobi Stock Exchange All Share Index; NSE 20 – Nairobi Stock Exchange top 20 performing companies

Awards and Recognitions in H1 2022: Our efforts are being recognized by external stakeholders

- Ranked **Most Reputable** Bank by GlobeScan[1]
- No 1. **Transformative Corporate Brand** impacting business
- Awarded **Top Employer 2022**
- Local currency **Corporate Bond Deal of the year** 2022
- No 1. as **organization of the year** by Women on Board Network
- **#1 in Asset Finance** by Think Business
- **#2 Best Bank in Tier 1** by Think Business
- **#2 Best in Corporate banking** by Think Business
- **#2 Best in Retail Banking** by Think Business
- **#2 Best in Agriculture and Livestock Financing** by Think Business

Notes

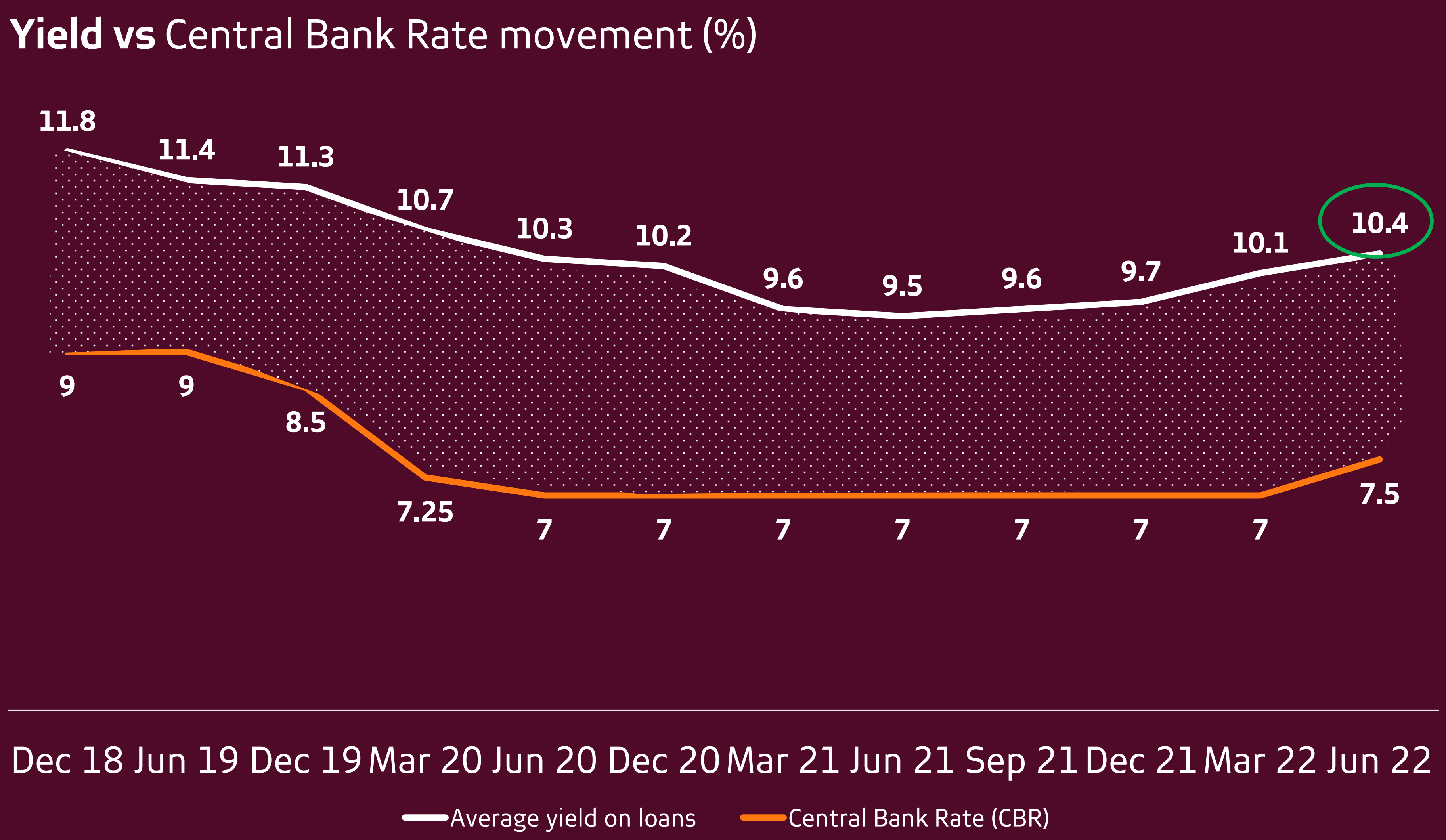
1. GlobeScan survey done in Q1 2022 focused on 2021 period

2

Financial Performance

Yusuf Omari –
Chief Finance Officer

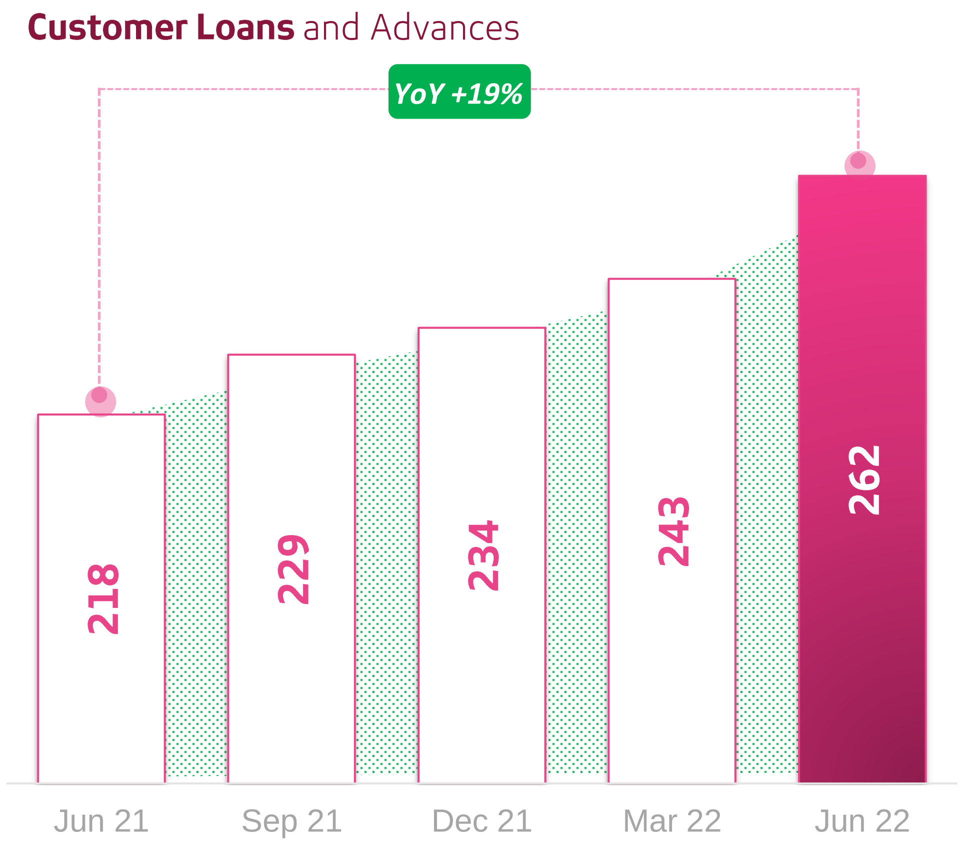
2022 Financial Results: Central Bank Rate remained stable across 2021, the rate has now started to pick up after nearly 2yrs

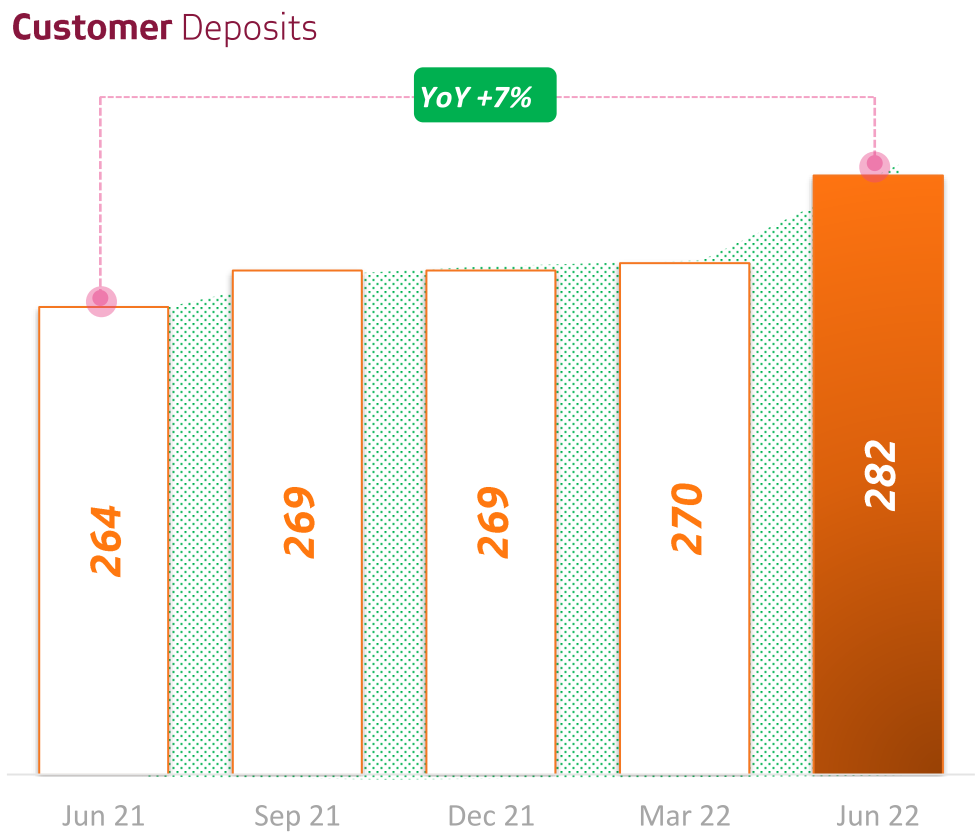


As a responsible financial partner, we have been repricing the book and passing on the benefits to our customers. The ABR rate is now the dominant pricing rate

H1 2022 Financial Results: Growth in balance sheet across all business segments

(In KES bn unless stated otherwise)





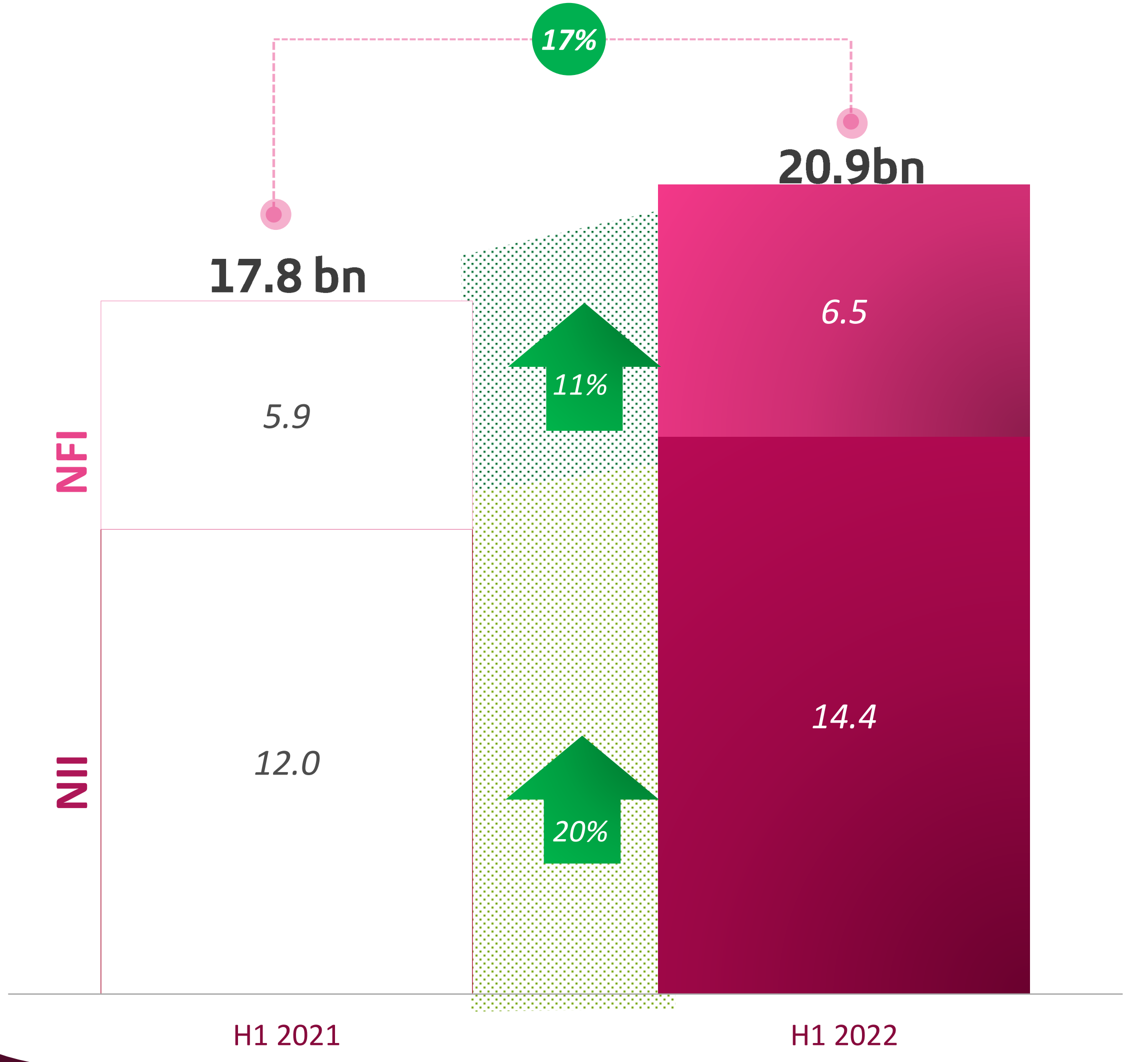
- LDR of **93%**
- Growth driven by Trade Loans, Overdraft, Mortgage and Scheme Loans
- Average yield on loans 10.4% (2021 – 9.5%)

- Focus is on attracting **cheaper deposits** to lower the cost of funding
- Cost of funds 2.4% (2021 – 2.3%)

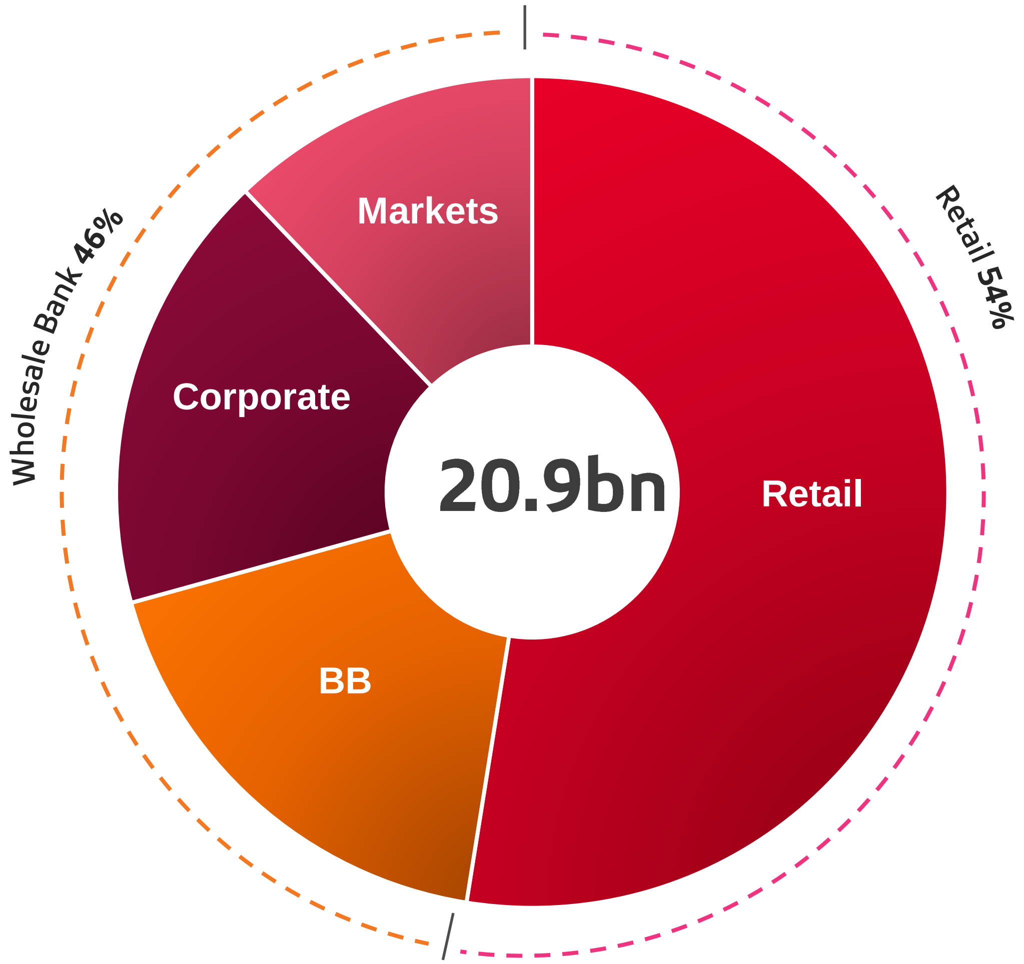
H1 2022 Financial Results: Revenue up 17% with growth in both NII and NFI

(In KES bn unless stated otherwise)

Absa NII and NFI



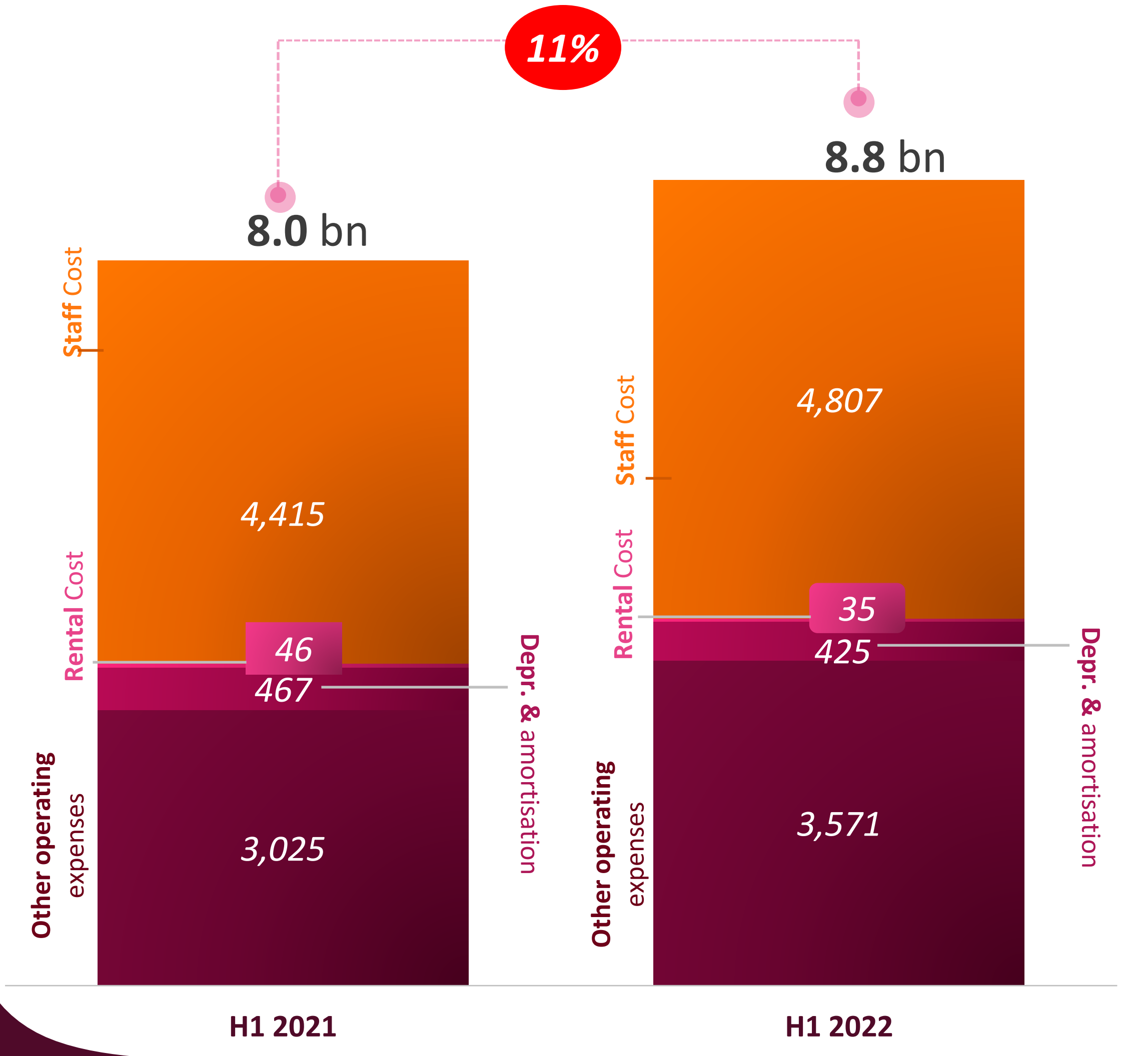
H1 2022 Income functional diversification



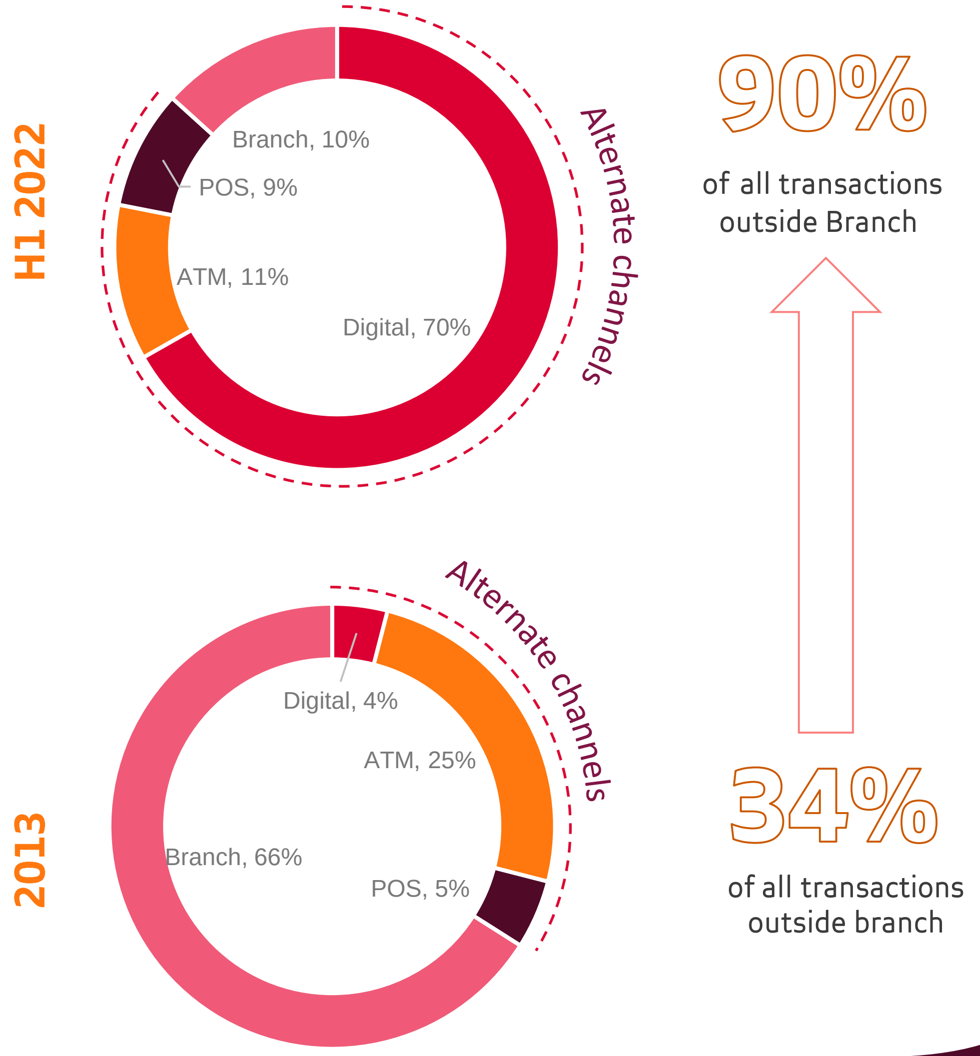
H1 2022 Financial Results: Cost growth from strategic investments aligned to our plans

(In KES mn unless stated otherwise)

Total Cost : H1 2022



Volume of customer transactions per channel: 2022



H1 2022 Financial Results: Accelerated revenue and balance sheet growth

(In KES bn unless stated otherwise)

P&L Indicators	H1 2022	H1 2021	Comment
Income	20.9	17.8	17%
Net Interest Income	14.4	12.0	20%
Non Funded Income	6.5	5.9	11%
Operating Costs	(8.8)	(8.0)	11%
Impairment	(3.0)	(1.9)	(52%)
Profit Before Tax	9.1	7.9	15%
Profit After Tax	6.3	5.6	13%

Balance Sheet			
Customer Assets	261.5	218.9	19%
Customer Liabilities	281.7	263.9	7%
Total Assets	445.3	398.2	12%

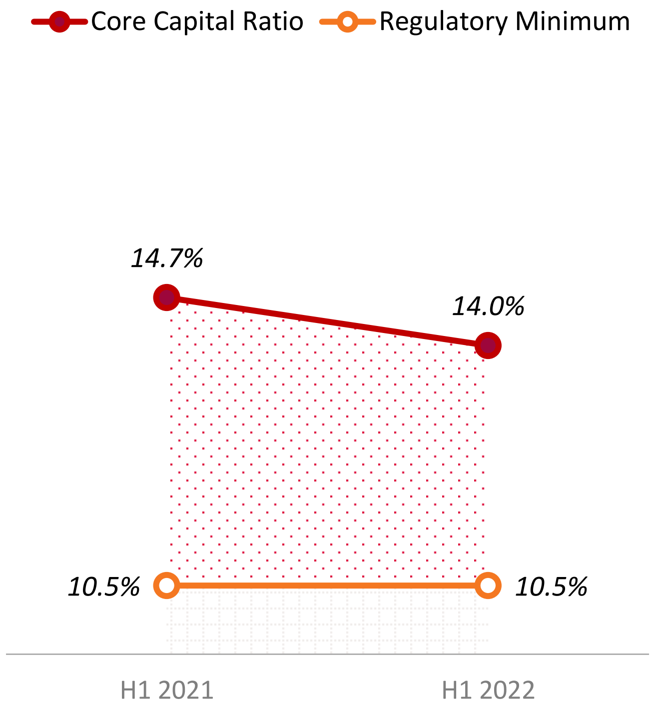
H1 2022 Financial Results (Key Ratios): Cost Income Ratio showing marked improvement, expansion of our loan margins and improvement in ROE[1]

Indicators	H1 2022	H1 2021	
Cost to Income Ratio	42%	45%	Marked improvement (300 bps)
Loan Loss Rate	2.3%	1.8%	Increase occasioned by book growth and macro overlay release in 2021
Yield on Loans	10.4%	9.5%	CBR[2] increase impact
Cost of Funds	2.4%	2.3%	Impacted by volatility in the market
ROE[1]	23%	22%	Recovery in ROE[1] drove better earnings and Optimization of capital
Interim Dividend (Kshs)	0.2	-	Strong capital position allows capital distribution with an interim dividend

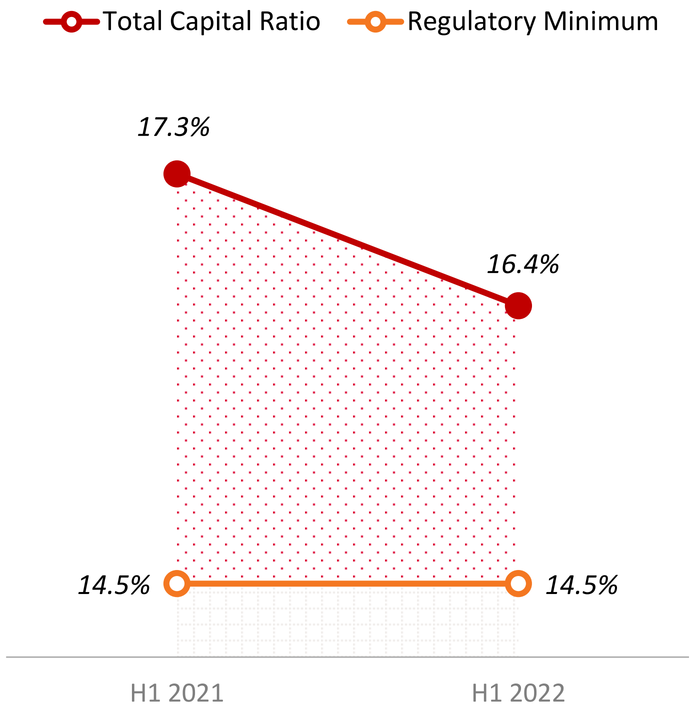
Notes
1. ROE – Return on Equity
2. CBR – Central Bank Rate

Financial Results (Key Ratios): Strong capital and liquidity ratios supporting growth and returns recovery

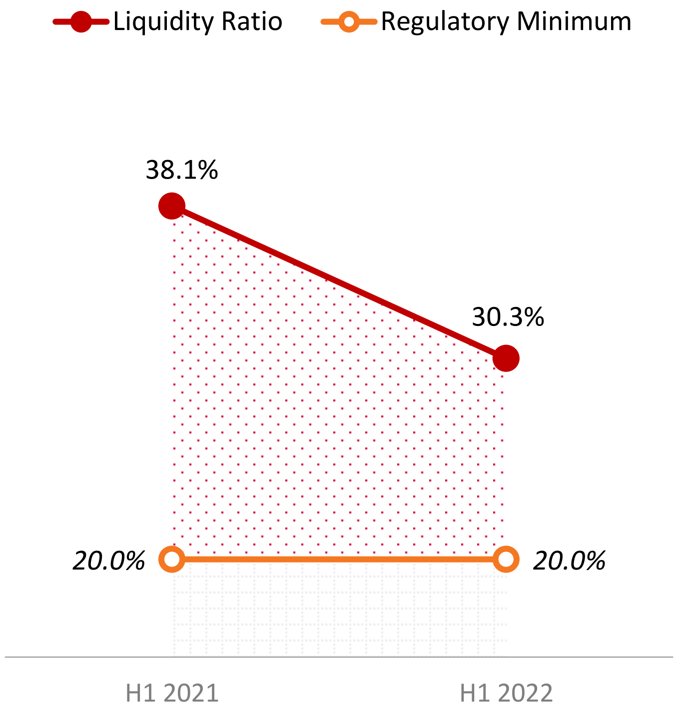
Core Capital Ratio



Total Capital Ratio



Liquidity Ratio



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Outlook

Moses Muthui -
Chief Strategy Officer, Absa
Finance Director, Absa Corporate and Investment Bank

Concluding the last 5-years strategy in 2022: We are delivering on all our strategic commitments as at H1 2022

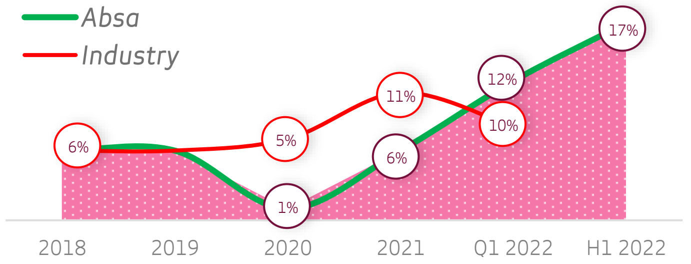
After achieving our Efficiency and Returns goals for 2018-2023 by 2021, our 2022 and 2023 strategic agenda is anchored on delivering sustainable market leading growth (*Growth Pillar of our GTR [1] Strategy).*

3 Growth Priorities | 3 Growth Enablers

3-Principal Financial Measures — Outcomes

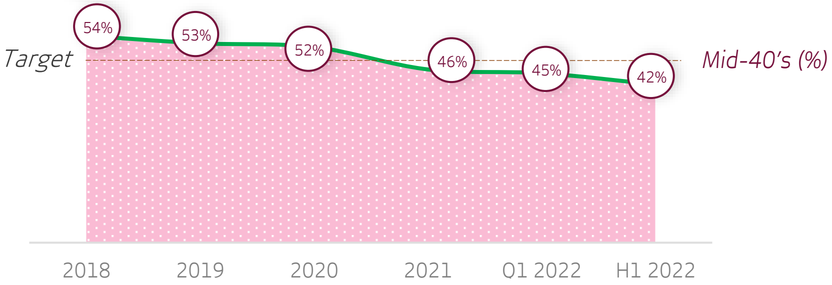
Grow revenue to gain **Market Share**

✓ Growth in revenue above Industry growth rate



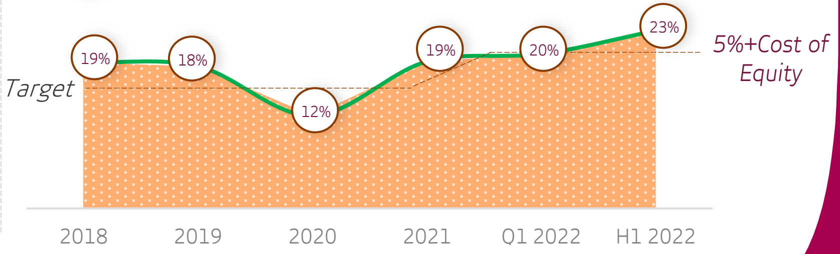
Achieve Cost to Income Ratio of **mid-40s**

✓ Cost to Income ratio sustained at mid-40%s



Achieve Return on Equity at **COE[2]+5%** *and market leading* **Total Returns**

✓ ROE[1] Above Cost of Equity+5%



Notes
1. GTR – Growth Transformation and Returns Strategy
2. ROE – Return on Equity
3. COE – Cost of Equity
4. RBB – Retail and Business Banking, CIB – Corporate and Investment Banking

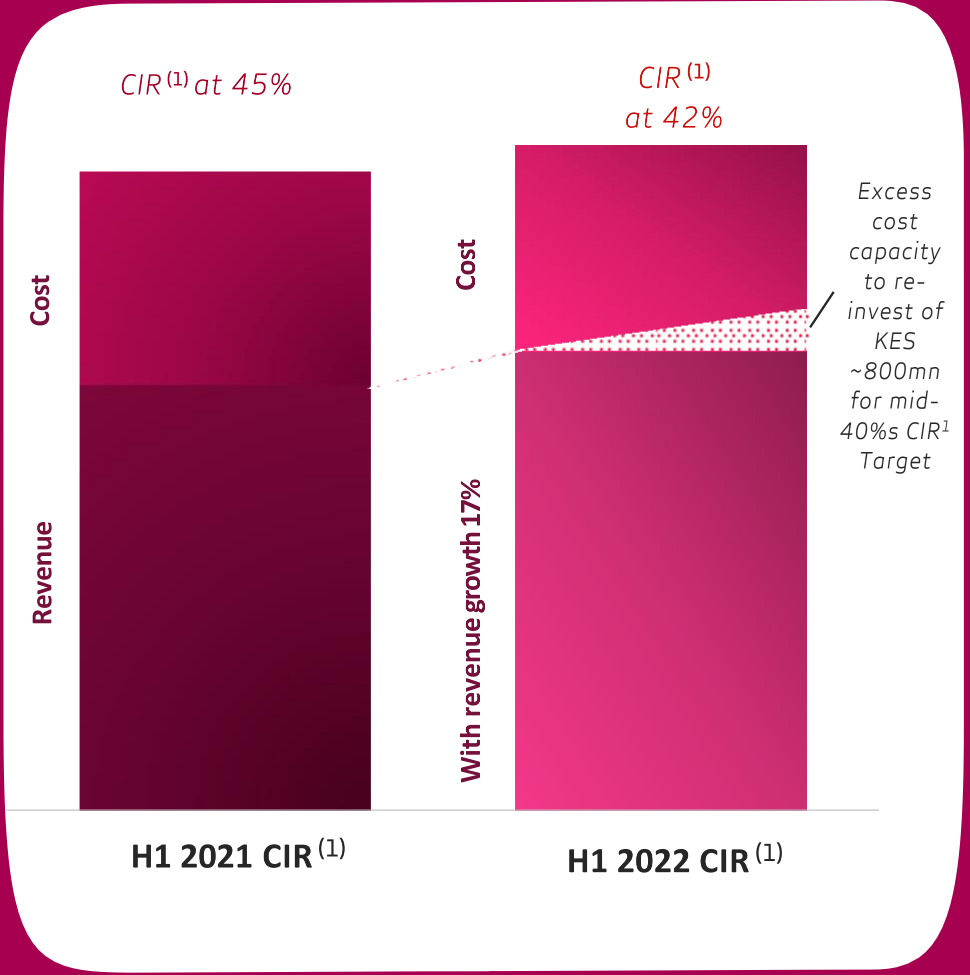
OPEX Re-Investment capacity: We are carrying significant potential to re-invest given outperformance on efficiency targets

Previous Cost Philosophy

Holding underlying OPEX flat

Increased one-off expenses (Cost to Achieve) change programs

Managing net cost increases at (or) below inflation



Forward Cost Philosophy

Increase costs to the extent the P&L can afford (+ve JAWS)

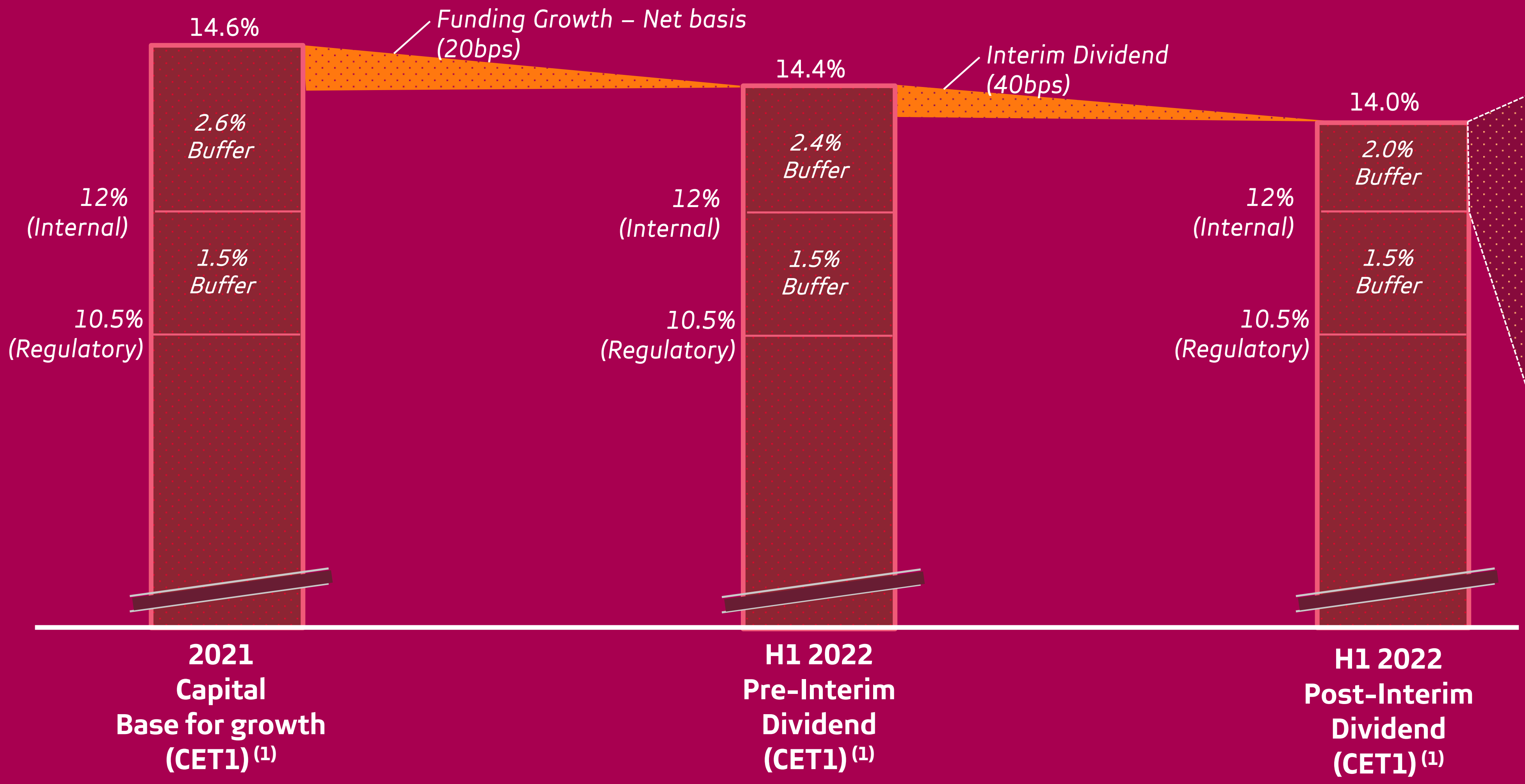
Continued take-out of structural costs through automation

While reserving an option to hold OPEX at inflation if needed

Notes
1. CIR - Cost to Income Ratio

Dynamic Capital Management: We have improved our precision on capital management towards supporting growth and distribution to shareholders

(In KES bn unless stated otherwise)



Multiplier Effect

Post dividend capital buffer at 2.0% (or KES 7.6bn)

Equivalent to ~KES 44bn of RWAs or ~18% of total RWAs[2], all else held constant

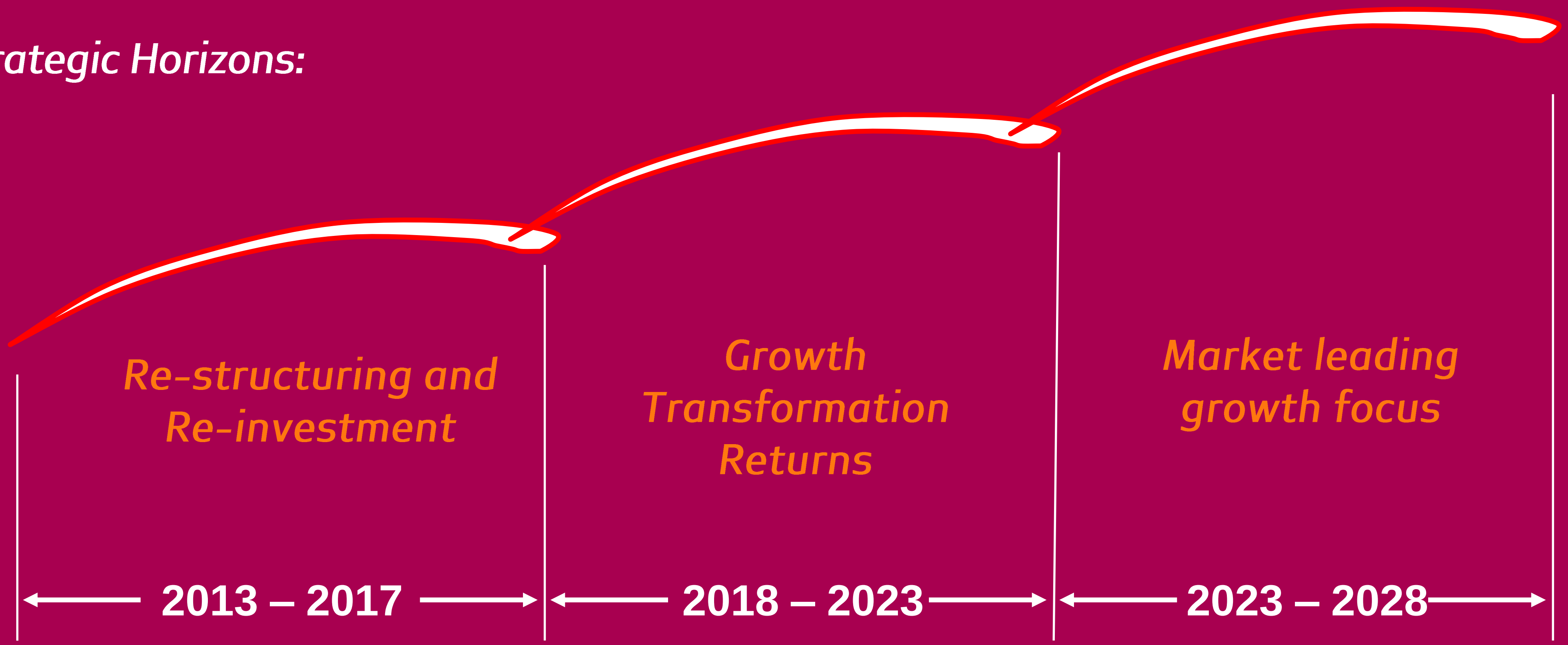
The focus will be on allocating the ~KES 44bn for returns

Notes

1. CET1 – Common Equity Tier 1 Capital
2. RWA – Risk Weighted Assets

The next Horizon: **We are in the process of developing a refreshed strategy for the period 2023 – 2028**

Strategic Horizons:



(Disclaimer)

Forward-looking statements

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